



In real estate, you get the return from:

Rental Yield + Capital Appreciation.

Capital Gains are long-term, and you don't have certainty, but you can get an idea about rental yields.

Rent = ₹ 60,000

Maintenance Cost = ₹ 10,000

Property Value = ₹ 5,00,000

Rental Yield = $(60,000 - 10,000) / 5,00,000 = 10\%$

Before you invest in a property, check for these two things:

- How easily can you rent the place?
- What is the rental yield?

You can check this by enquiring about the rents of similar establishments in the area and by checking how much demand exists or will come up in the near future.

PLOT vs BUILDING

If you are investing in residential real estate, most people invest in two options:

